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GROWTH PANGS

The country's metamorphosis from **an economic laggard to the fastest growing economy** globally is the result of visionary policy decisions in the past few decades

By M.G. Arun

India's transformation from a state of poor growth before 1947 to the fastest growing economy in the globe now has been a remarkable one. In the pre-Independence era, India's real Gross National Product (GDP) grew only by an average 0.9 per cent a year. Post-Independence, the country embarked on an ambitious task of planned economic growth to come out of this stagnation.

The country also had to reckon with the aftereffects of the Second World War and Partition, in addition to consolidating the nation and building an administrative and political apparatus. Real GDP rose at an average annual rate of 4 per cent post-Independence, with any significant acceleration taking place only in the 1980s. Sectoral composition of the GDP gradually changed, with agriculture, which contributed more than half of the GDP during the first three Five-Year Plans, shrinking to one-third by the end of the 1980s.

The 1960s saw big economic decisions, including the nationalisation of 14 private banks. In 1983, Maruti, the small car that drove the rise of a new middle class and consumption, rolled out of the assembly line in Gurgaon, marking a high point in In-